SBC · VCFO SUITE · ASK VCFO · FOR THE WHOLE TEAM · 11 NOVEMBER 2026

Same AI, safer road: client data stays in India.

Ask VCFO is moving from Anthropic's own service to **Amazon Bedrock India**. It is the same Claude AI, now running inside Amazon's data centres in Mumbai and Hyderabad. This five-page guide shows why, what it fixes, and what it does not.

Same Claude AI

Answers look and work the same. Only the route changes.

Stays in India

Mumbai and Hyderabad only. Ask VCFO refuses any other setting.

One company

Amazon, which already hosts VCFO Suite, instead of two.

A CORRECTION FIRST

Is the Anthropic API illegal? No. Here is what actually matters.

Not the issue: the DPDP Act

India's data protection law allows sending data abroad unless the country is on a restricted list. No country is on it yet. Most DPDP duties start only around **13 May 2027**.

The issue today: client confidentiality

A CA must not share a client's information with anyone without the client's consent (CA Act). The IT Act's rules also ask for consent before sensitive data goes abroad. We do not have that consent yet.

Also new: Anthropic's own rules (from 12 November 2026)

When AI gives tax or legal advice about a person's own situation, a qualified person must review it, and the person must be told AI was used. This applies on both roads.

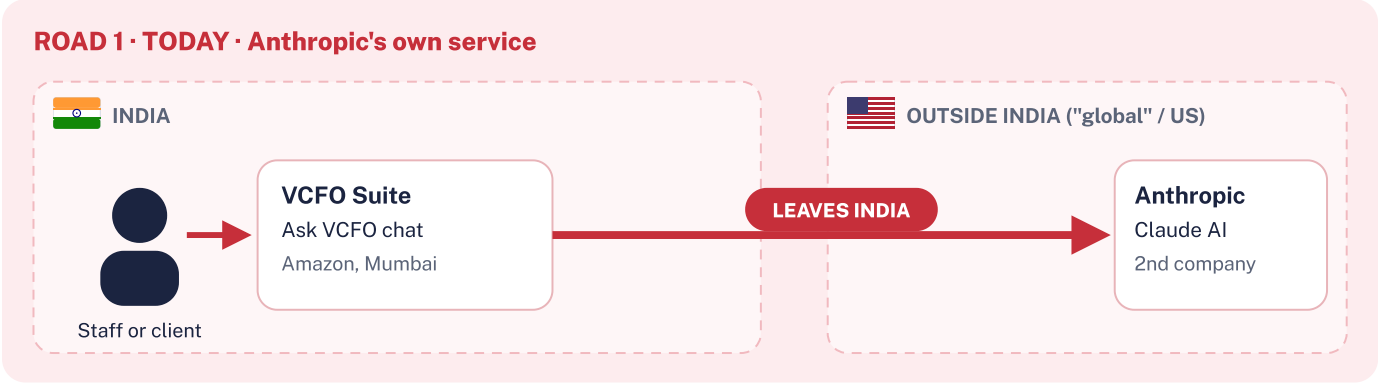
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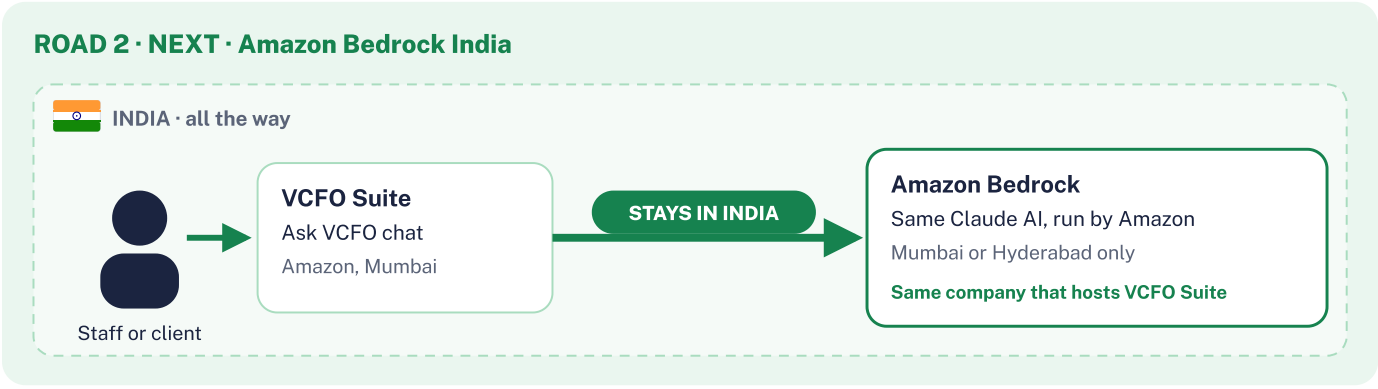
- **Today** Ask VCFO's questions are processed outside India and can be kept for up to 30 days.
- **Bedrock India** keeps processing in India, keeps nothing (retention "none"), and Anthropic cannot see the questions.
- **Still needed** client consent, a CA's review of AI advice, and a signed data contract with Amazon.
- **Until consent exists** client data stays switched off in Ask VCFO.

THE PICTURE

Two roads for the same question

When someone asks Ask VCFO a question, the question travels to the AI and the answer comes back. The road it takes decides who sees it and where.





	Road 1 · Today	Road 2 · Bedrock India
WHAT LEAVES INDIA	✗ The question, and any client facts in it	✓ Nothing. Processing stays in Mumbai and Hyderabad
WHO CAN SEE IT	✗ Anthropic, a second company	✓ Amazon only. Anthropic has no access
HOW LONG KEPT	✗ Up to 30 days (flagged content longer)	✓ Can be set to "none": nothing kept
USED TO TRAIN AI	✓ No	✓ No
COMPANIES	2 Amazon (app) and Anthropic (AI)	1 Amazon for both

How Ask VCFO knows to stay in India. Amazon offers an "India profile": a setting that tells Amazon to run the AI only in Mumbai or Hyderabad. The AI model names in this profile start with `in.` (for example `in.anthropic.claude-sonnet-5`). Ask VCFO checks this before every question and refuses to run with any other setting.

Sources: docs/specs/ask-vcfo/BEDROCK-INDIA.md; AWS blog on India cross-region inference (29 Sep 2026); AWS Bedrock data retention docs

THE RULES

What each rule says, on each road, now and from May 2027

Read across a row. Colour shows where we stand if client data were sent through Ask VCFO.

Problem today | Allowed with conditions | Fine | Later (from ~May 2027)

RULE	ROAD 1 · TODAY (ANTHROPIC) · NOW	ROAD 2 · BEDROCK INDIA · NOW	BOTH ROADS · FROM ~13 MAY 2027
CA Act Second Schedule, Part I, Clause 1. No disclosure of client information without the client's consent.	**Problem today** Client facts go to another company abroad, and no client consent is on file.	**Needs consent** Better: one company, India only, nothing kept. But Amazon is still "another person", so consent is still needed.	**No change** This rule does not end. Client consent stays the key, on any road.
IT Act · SPDI Rules Sensitive personal data (such as bank or financial details) can go abroad only with consent, or if truly necessary.	**Problem today** Data goes abroad. No consent on file.	**Fine on transfer** Nothing goes abroad, so the overseas question does not arise. Normal care and consent rules still apply.	**Ends ~May 2027** These rules give way to the DPDP Act.
DPDP Act 2023 India's new data protection law. Transfers abroad allowed unless the country is restricted.	**Not illegal** No country is restricted. Most duties have not started yet.	**Not illegal** Same, and simpler: data never leaves India.	**Starts ~13 May 2027** Notice and consent from each person, a contract with every data processor, safeguards, breach reporting. Easier with one processor in India.
Anthropic Usage Policy From 12 Nov 2026. AI tax or legal advice about a person's own case is "high risk".	**Applies** A qualified person reviews the advice, and the person is told AI was used.	**Applies too** Same Claude AI, same rule. Bedrock does not remove it.	**Still applies** Built: "AI-generated" label and an "Ask my CA to confirm" button. Staff must actually review.

The short version

Today's problem is **consent**, not a ban. Road 2 removes the "goes abroad" part and the "second company" part. It does not remove the need for the client's permission.

Why move now, not in 2027

The CA Act and the IT Act rules apply **today**. And in May 2027 the DPDP Act asks for a contract with each processor. One processor in India is the simplest place to be.

Sources: CA Act 1949 (Second Schedule); IT Act s.43A and SPDI Rules 2011; DPDP Act 2023 and Rules 2025; Anthropic Usage Policy

BE CLEAR ABOUT IT

What Bedrock fixes, and what it does not

Bedrock is a safer road. It is not a permission slip.

Bedrock fixes

- **Data leaving India.** The AI runs only in Mumbai and Hyderabad.
- **A second company seeing questions.** Anthropic has no access. Only Amazon, which already hosts VCFO Suite.
- **Copies kept for 30 days.** Retention can be set to "none".
- **Training worries.** Not used to train AI (also true today).
- **Wrong settings slipping through.** Ask VCFO refuses any setting that would send data abroad. It never falls back to the old road.

Bedrock does not fix

- **Client consent.** Sharing client facts with Amazon's AI is still sharing. The client must agree.
- **CA review of AI advice.** Advice on a client's own tax or legal position still needs a qualified person to check it.
- **A signed data contract.** We still need Amazon's data processing terms in place and on file.
- **Wrong answers.** AI can be wrong on any road. A person checks before anyone relies on it.
- **Newest models.** India currently offers slightly older models (Haiku 4.5, Sonnet 5), so answer quality is re-checked after the switch.

The three things that make it legal

Bedrock India is the road. These three are the licence to drive on it with client data.

Bedrock India + **1 · Client consent** + **2 · CA review** + **3 · Amazon contract**

1

Client consent

Each client agrees, in writing, that SBC may use an AI service run by Amazon in India for their work. Best placed in the engagement letter.

Owner + CS write the wording

2

CA review

A qualified person checks AI advice about a client's own tax or legal position before the client acts on it, and the client is told AI was used.

Built in the app · every reviewer applies it

3

Amazon contract

Amazon's data processing terms accepted and kept on file, covering Bedrock. The DPDP Act will ask for this from May 2027.

Owner signs and files

What you will notice after the switch

Same
The Ask VCFO screens, buttons and labels. Nothing new to learn.

Maybe different
Wording and quality of some answers, because India runs slightly older models. We re-test before relying on it.

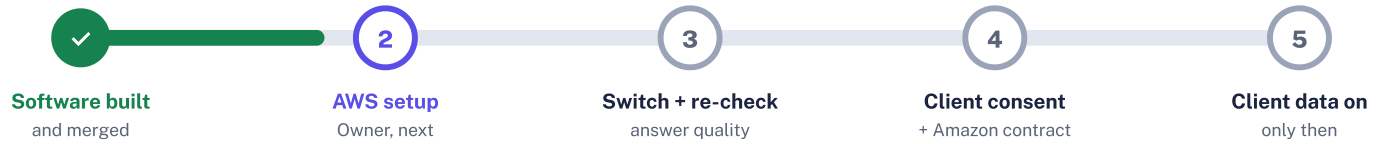
Still off
Client data in Ask VCFO, until client consent and the Amazon contract are in place.

Sources: docs/specs/ask-vcfo/PRIVACY.md; docs/specs/ask-vcfo/BEDROCK-INDIA.md; VCFO Assist legal review (10 Nov 2026)

WHERE WE ARE

Who does what next

The software is ready. The rest is AWS setup, consent wording, and discipline until consent is in place.



- [x] **Build the India-only road in Ask VCFO**
  Done and merged. Ask VCFO refuses any setting that would send data abroad, and never falls back to the old road.
  Dev · done

- [x] **"AI-generated" label and "Ask my CA to confirm"**
  Done. Every AI answer is labelled; a client can send any answer to their CA for review.
  Dev · done

- [ ] **Turn on Claude Haiku 4.5 and Sonnet 5 in Mumbai and Hyderabad**
  In the Amazon (AWS) console, Bedrock, model access. Both regions. Steps in BEDROCK-INDIA.md, step 1 and 2.
  Owner · AWS

- [ ] **Set data retention to "none" in both regions**
  So Amazon keeps no copy of questions. BEDROCK-INDIA.md, step 3.
  Owner · AWS

- [ ] **Deploy, check, and re-test answer quality**
  India offers slightly older models, so the team's test questions are run again after the switch.
  Owner + Dev

- [ ] **Write the client consent wording**
  For the engagement letter: SBC uses an AI service run by Amazon in India; a CA reviews advice.
  Owner + CS

- [ ] **Accept and file Amazon's data processing terms**
  The signed data contract that covers Bedrock.
  Owner

- [!] **Keep client data out of Ask VCFO until consent exists**
  The owner keeps the client data switch off in production (`ASK_CLIENT_DATA_ENABLED=false`). Ask general questions only; do not paste client details into the chat.
  Everyone · now

You can use Ask VCFO today for

General law and procedure questions, the firm's own playbook, SPICe+ steps, due dates. No client names, numbers or facts.

Please do not, yet

Paste client documents, director details, bank or ID numbers, or ask for advice on a named client's case.

Research summary, not legal advice; a CS or advocate confirms. This page summarises the firm's research and code review as of 11 November 2026. A practising Company Secretary or advocate should confirm the consent wording and the position under each rule before Ask VCFO handles real client data.